had been doing badly in the difficult year 1970. If we eliminated those which had reported net losses in the last 12-month period we would be still left with enough issues to make up a diversified list.

We have included in Table 15-2 some data on five issues that sold at less than their working-capital value[*] at their *low* prices of 1970. These give some food for reflection on the nature of stock-price fluctuations. How does it come about that well-established companies, whose brands are household names all over the country, could be valued at such low figures—at the same time when other concerns (with better earnings growth of course) were selling for billions of dollars in excess of what their balance sheets showed? To quote the "old days" once more, the idea of good will as an element of intangible value was usually associated with a "trade name." Names such as Lady Pepperell in sheets, Jantzen in swim suits, and Parker in pens would be considered assets of great value indeed. But now, if the "market doesn't like a company," not only renowned trade names but land, buildings, machinery, and what you will, can all count for nothing in its scales. Pascal said that "the heart has its reasons that the reason doesn't understand."[*] For "heart" read "Wall Street."

TABLE 15-2 Stocks of Prominent Companies Selling at or Below Net-Current-Asset Value in 1970

Company	1970 Price	Net-Current-Asset Value Per Share	Book Value Per Share	Earned Per Share, 1970	Current Dividend	High Price Before 1970
Cone Mills	13	$18	$39.3	$1.51	$1.00	41½
Jantzen Inc.	11¼	12	16.3	1.27	.60	37
National Presto	21½	27	31.7	6.15	1.00	45
Parker Pen	9¼	9½	16.6	1.62	.60	31¼
West Point Pepperell	16¼	20½	39.4	1.82	1.50	64

There is another contrast that comes to mind. When the going is good and new issues are readily salable, stock offerings of no quality at all make their appearance. They quickly find buyers; their prices are often bid up enthusiastically right after issuance to levels in relation to assets and earnings that would put IBM, Xerox, and Polaroid to shame. Wall Street takes this madness in its stride, with no overt efforts by anyone to call a halt before the inevitable collapse in prices. (The SEC can't do much more than